Note: *The draft you are looking for begins on the next page.*

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Most forms and publications have a page on IRS.gov: IRS.gov/Form1040 for Form 1040; IRS.gov/Pub501 for Pub. 501; IRS.gov/W4 for Form W-4; and IRS.gov/ScheduleA for Schedule A (Form 1040), for example, and similarly for other forms, pubs, and schedules for Form 1040. When typing in a link, type it into the address bar of your browser, not a Search box on IRS.gov.

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TREASURY/IRS AND OMB USE ONLY DRAFT

Form **1120-S**

Department of the Treasury
Internal Revenue Service

U.S. Income Tax Return for an S Corporation

Do not file this form unless the corporation has filed or is attaching Form 2553 to elect to be an S corporation.

Go to *www.irs.gov/Form1120S* for instructions and the latest information.

OMB No. 1545-0123

2026

For calendar year 2026 or tax year beginning , 2026, ending , 20

A Selection effective date	Name			**D** Employer identification number
B Business activity code number (see instructions)	Number and street. If a P.O. box, see instructions.		Room or suite no.	**E** Date incorporated
C Check if Sch. M-3 attached ☐	City or town	State or province / Country	ZIP or foreign code	**F** Total assets (see instructions) $

G Is the corporation electing to be an S corporation beginning with this tax year? See instructions ☐ **Yes** ☐ **No**

H Check if: **(1)** ☐ Final return **(2)** ☐ Name change **(3)** ☐ Address change **(4)** ☐ Amended return **(5)** ☐ S election termination

I Enter the number of shareholders who were shareholders during any part of the tax year **I**

J Check if corporation: **(1)** ☐ Aggregated activities for section 465 at-risk purposes **(2)** ☐ Grouped activities for section 469 passive activity purposes

Caution: Include **only** trade or business income and expenses on lines 1a through 22. See the instructions for more information.

Income	**1a**	Gross receipts or sales **1b** Less returns and allowances **1c** Balance	**1c**	
	2	Cost of goods sold (attach Form 1125-A)	**2**	
	3	Gross profit. Subtract line 2 from line 1c	**3**	
	4	Net gain (loss) from Form 4797, Part II, line 19 (attach Form 4797)	**4**	
	5	Other income (loss) (see instructions—attach statement)	**5**	
	6	**Total income (loss).** Add lines 3 through 5	**6**	
Deductions (see instructions for limitations)	**7**	Compensation of officers (see instructions—attach Form 1125-E)	**7**	
	8	Salaries and wages (less employment credits)	**8**	
	9	Repairs and maintenance	**9**	
	10	Bad debts	**10**	
	11	Rents	**11**	
	12	Taxes and licenses	**12**	
	13	Interest (see instructions)	**13**	
	14	Depreciation from Form 4562 not claimed on Form 1125-A or elsewhere on return (attach Form 4562)	**14**	
	15	Depletion **(do not deduct oil and gas depletion)**	**15**	
	16	Advertising	**16**	
	17	Pension, profit-sharing, etc., plans	**17**	
	18	Employee benefit programs	**18**	
	19	Energy efficient commercial buildings deduction (attach Form 7205)	**19**	
	20	Other deductions (attach statement)	**20**	
	21	**Total deductions.** Add lines 7 through 20	**21**	
	22	**Ordinary business income (loss).** Subtract line 21 from line 6	**22**	
Tax and Payments	**23a**	Excess net passive income or LIFO recapture tax (see instructions)	**23a**	
	23b	Tax from Schedule D (Form 1120-S)	**23b**	
	23c	Add lines 23a and 23b (see instructions for additional taxes)	**23c**	
	24a	Current year's estimated tax payments and preceding year's overpayment credited to the current year	**24a**	
	24b	Tax deposited with Form 7004	**24b**	
	24c	Credit for federal tax paid on fuels (attach Form 4136)	**24c**	
	24d	Elective payment election amount from Form 3800	**24d**	
	24z	Add lines 24a through 24d	**24z**	
	25	Estimated tax penalty (see instructions). Check if Form 2220 is attached ☐	**25**	
	26	**Amount owed.** If line 24z is smaller than the total of lines 23c and 25, enter amount owed	**26**	
	27	**Overpayment.** If line 24z is larger than the total of lines 23c and 25, enter amount overpaid	**27**	
	28	Amount from line 27: **28a Credited to 2027 estimated tax** **28b Refunded**	**28b**	
	28c	Routing number (9 digits) **28d** Type: ☐ Checking ☐ Savings		
	28e	Account number (up to 17 digits)		

Sign Here

Under penalties of perjury, I declare that I have examined this return, including accompanying schedules and statements, and to the best of my knowledge and belief, it is true, correct, and complete. Declaration of preparer (other than taxpayer) is based on all information of which preparer has any knowledge.

Signature of officer | Date | Title

May the IRS discuss this return with the preparer shown below? See instructions. ☐ **Yes** ☐ **No**

Paid Preparer Use Only

Preparer's name	Preparer's signature	Date	Check ☐ if self-employed	PTIN
Firm's name			Firm's EIN	
Firm's address			Phone no.	

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Schedule B Other Information (see instructions)

		Yes	No
1	Check accounting method: **1a** ☐ Cash **1b** ☐ Accrual **1c** ☐ Other (specify) _____		
2	See the instructions and enter the: **2a** Business activity _____ **2b** Product or service _____		
3	At any time during the tax year, was any shareholder of the corporation a disregarded entity, a trust, an estate, or a nominee or similar person? If "Yes," attach Schedule B-1, Information on Certain Shareholders of an S Corporation . .	☐	☐
4	At the end of the tax year, did the corporation:		
4a	Own directly 20% or more, or own, directly or indirectly, 50% or more of the total stock issued and outstanding of any foreign or domestic corporation? For rules of constructive ownership, see instructions. If "Yes," complete (i) through (v)	☐	☐

(i) Name of corporation	(ii) EIN (if any)	(iii) Country of incorporation	(iv) Percentage of stock owned	(v) If Percentage in (iv) is 100%, enter the date (if applicable) a qualified Subchapter S subsidiary election was made

		Yes	No
4b	Own directly an interest of 20% or more, or own, directly or indirectly, an interest of 50% or more in the profit, loss, or capital in any foreign or domestic partnership (including an entity treated as a partnership) or in the beneficial interest of a trust? For rules of constructive ownership, see instructions. If "Yes," complete (i) through (v) below	☐	☐

(i) Name of entity	(ii) EIN (if any)	(iii) Type of entity	(iv) Country of organization	(v) Maximum percentage owned in profit, loss, or capital

		Yes	No
5a	At the end of the tax year, did the corporation have any outstanding shares of restricted stock?	☐	☐
	If "Yes," complete lines (i) and (ii) below.		
	5a (i) Total shares of restricted stock . . . . . **5a(i)** _____		
	5a (ii) Total shares of non-restricted stock . . . . . **5a(ii)** _____		
5b	At the end of the tax year, did the corporation have any outstanding stock options, warrants, or similar instruments? .	☐	☐
	If "Yes," complete lines (i) and (ii) below.		
	5b (i) Total shares of stock outstanding at the end of the tax year . **5b(i)** _____		
	5b (ii) Total shares of stock outstanding if all instruments were executed **5b(ii)** _____		
6	Has this corporation filed, or is it required to file, **Form 8918**, Material Advisor Disclosure Statement, to provide information on any reportable transaction?	☐	☐
7	Check this box if the corporation issued publicly offered debt instruments with original issue discount . . . . . ☐		
	If checked, the corporation may have to file **Form 8281**, Information Return for Publicly Offered Original Issue Discount Instruments.		
8	If the corporation (**a**) was a C corporation before it elected to be an S corporation **or** the corporation acquired an asset with a basis determined by reference to the basis of the asset (or the basis of any other property) in the hands of a C corporation, **and** (**b**) has net unrealized built-in gain in excess of the net recognized built-in gain from prior years, enter the net unrealized built-in gain reduced by net recognized built-in gain from prior years. See instructions **8**		
9	Did the corporation have an election under section 163(j) for any real property trade or business or any farming business in effect during the tax year? See instructions	☐	☐
10	Does the corporation satisfy one or more of the following? See instructions	☐	☐
	• The corporation owns a pass-through entity with current, or prior-year carryover, excess business interest expense.		
	• The corporation's aggregate average annual gross receipts (determined under section 448(c)) for the 3 tax years preceding the current tax year are more than $32 million and the corporation has business interest expense.		
	• The corporation is a tax shelter and the corporation has business interest expense.		
	If "Yes," complete and attach **Form 8990**, Limitation on Business Interest Expense Under Section 163(j).		
11	Does the corporation satisfy **both** of the following conditions?	☐	☐
11a	The corporation's total receipts (see instructions) for the tax year were less than $250,000.		
11b	The corporation's total assets at the end of the tax year were less than $250,000.		
	If "Yes," the corporation is not required to complete Schedules L and M-1.		

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Schedule B Other Information (see instructions) *(continued)*

		Yes	No
12a	During the tax year, did the corporation have any non-shareholder debt that was canceled, was forgiven, or had the terms modified so as to reduce the principal amount of the debt?	☐	☐
12b	If "Yes," enter the amount of principal reduction **12b**		
13	During the tax year, was a qualified subchapter S subsidiary election terminated or revoked? If "Yes," see instructions	☐	☐
14a	Did the corporation make any payments that would require it to file Form(s) 1099?	☐	☐
14b	If "Yes," did or will the corporation file required Form(s) 1099?	☐	☐
15a	Does the corporation intend to self-certify as a qualified opportunity fund?	☐	☐
15b	If "Yes," complete and attach Form 8996. Enter the amount (if any) from Form 8996, line 24 **15b**		
16	At any time during the tax year, did the corporation: (a) receive (as a reward, award, or payment for property or services); or (b) sell, exchange, or otherwise dispose of a digital asset (or a financial interest in a digital asset)? See instructions	☐	☐
17	Reserved for future use		

Schedule K Shareholders' Pro Rata Share Items

				Total amount
Income (Loss)	1	Ordinary business income (loss) (page 1, line 22)	1	
	2	Net rental real estate income (loss) (attach Form 8825)	2	
	3a	Other gross rental income (loss)	3a	
	3b	Expenses from other rental activities (attach statement)	3b	
	3c	Other net rental income (loss). Subtract line 3b from line 3a	3c	
	4	Interest income	4	
	5a	Ordinary dividends	5a	
	5b	Qualified dividends	5b	
	6	Royalties	6	
	7	Net short-term capital gain (loss) (attach Schedule D (Form 1120-S))	7	
	8a	Net long-term capital gain (loss) (attach Schedule D (Form 1120-S))	8a	
	8b	Collectibles (28%) gain (loss)	8b	
	8c	Unrecaptured section 1250 gain (attach statement)	8c	
	9	Net section 1231 gain (loss) (attach Form 4797)	9	
	10	Other income (loss) (see instructions) **10** Type:	10	
Deductions	11	Section 179 deduction (attach Form 4562)	11	
	12a	Cash charitable contributions	12a	
	12b	Noncash charitable contributions	12b	
	12c	Investment interest expense	12c	
	12d	Section 59(e)(2) expenditures **12d** Type:	12d	
	12e	Other deductions (see instructions) **12e** Type:	12e	
Credits	13a	Low-income housing credit (section 42(j)(5))	13a	
	13b	Low-income housing credit (other)	13b	
	13c	Qualified rehabilitation expenditures (rental real estate) (attach Form 3468, if applicable)	13c	
	13d	Other rental real estate credits (see instructions) **13d** Type:	13d	
	13e	Other rental credits (see instructions) **13e** Type:	13e	
	13f	Biofuel producer credit (attach Form 6478)	13f	
	13g	Other credits (see instructions) **13g** Type:	13g	
International	14a	Attach Schedule K-2 (Form 1120-S), Shareholders' Pro Rata Share Items—International, and check this box to indicate you are reporting items of international tax relevance **14a** ☐		
	14b	Check this box if you qualified for an exception to filing Schedule K-2 (Form 1120-S) **14b** ☐		
Alternative Minimum Tax (AMT) Items	15a	Post-1986 depreciation adjustment	15a	
	15b	Adjusted gain or loss	15b	
	15c	Depletion (other than oil and gas)	15c	
	15d	Oil, gas, and geothermal properties—gross income	15d	
	15e	Oil, gas, and geothermal properties—deductions	15e	
	15f	Other AMT items (attach statement)	15f	
Items Affecting Shareholder Basis	16a	Tax-exempt interest income	16a	
	16b	Other tax-exempt income	16b	
	16c	Nondeductible expenses	16c	
	16d	Distributions (attach statement if required) (see instructions)	16d	
	16e	Repayment of loans from shareholders	16e	
	16f	Foreign taxes paid or accrued	16f	

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Schedule K Shareholders' Pro Rata Share Items *(continued)*

				Total amount
Other Information	17a	Investment income	17a	
	17b	Investment expenses	17b	
	17c	Dividend distributions paid from accumulated earnings and profits	17c	
	17d	Other items and amounts (attach statement)		
Reconciliation	18	**Income (loss) reconciliation.** Combine the total amounts on lines 1 through 10. From the result, subtract the sum of the amounts on lines 11 through 12e and 16f	18	

Schedule L Balance Sheets per Books

Assets			Beginning of tax year (a)	Beginning of tax year (b)	End of tax year (c)	End of tax year (d)
1	Cash	1				
2a	Trade notes and accounts receivable	2a				
2b	Less allowance for bad debts	2b	( )		( )	
3	Inventories	3				
4	U.S. Government obligations	4				
5	Tax-exempt securities (see instructions)	5				
6	Other current assets (attach statement)	6				
7	Loans to shareholders	7				
8	Mortgage and real estate loans	8				
9	Other investments (attach statement)	9				
10a	Buildings and other depreciable assets	10a				
10b	Less accumulated depreciation	10b	( )		( )	
11a	Depletable assets	11a				
11b	Less accumulated depletion	11b	( )		( )	
12	Land (net of any amortization)	12				
13a	Intangible assets (amortizable only)	13a				
13b	Less accumulated amortization	13b	( )		( )	
14	Other assets (attach statement)	14				
15	Total assets	15				
	Liabilities and Shareholders' Equity					
16	Accounts payable	16				
17	Mortgages, notes, bonds payable in less than 1 year	17				
18	Other current liabilities (attach statement)	18				
19	Loans from shareholders	19				
20	Mortgages, notes, bonds payable in 1 year or more	20				
21	Other liabilities (attach statement)	21				
22	Capital stock	22				
23	Additional paid-in capital	23				
24	Retained earnings	24				
25	Adjustments to shareholders' equity (attach statement)	25				
26	Less cost of treasury stock	26		( )		( )
27	Total liabilities and shareholders' equity	27				

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Schedule M-1 Reconciliation of Income (Loss) per Books With Income (Loss) per Return

Note: The corporation may be required to file Schedule M-3. See instructions.

1	Net income (loss) per books		5	Income recorded on books this year not included on Schedule K, lines 1 through 10 (itemize):	
2	Income included on Schedule K, lines 1, 2, 3c, 4, 5a, 6, 7, 8a, 9, and 10, not recorded on books this year (itemize):		5a	Tax-exempt interest	
3	Expenses recorded on books this year not included on Schedule K, lines 1 through 12e, and 16f (itemize):		6	Deductions included on Schedule K, lines 1 through 12e, and 16f, not charged against book income this year (itemize):	
3a	Depreciation		6a	Depreciation	
3b	Travel and entertainment		7	Add lines 5 and 6	
4	Add lines 1 through 3		8	Income (loss) (Schedule K, line 18). Subtract line 7 from line 4	

Schedule M-2 Analysis of Accumulated Adjustments Account, Shareholders' Undistributed Taxable Income Previously Taxed, Accumulated Earnings and Profits, and Other Adjustments Account (see instructions)

			(a) Accumulated adjustments account	(b) Shareholders' undistributed taxable income previously taxed	(c) Accumulated earnings and profits	(d) Other adjustments account
1	Balance at beginning of tax year	1				
2	Ordinary income from page 1, line 22	2				
3	Other additions	3				
4	Loss from page 1, line 22	4	( )			
5	Other reductions	5	( )			( )
6	Combine lines 1 through 5	6				
7	Distributions	7				
8	Balance at end of tax year. Subtract line 7 from line 6	8				

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